in the country. In this scenario, he also faced the prospect of Tata Tea's biggest competitor, Hindustan Lever, gaining access to the latest technology of its parent company, Unilever. The Indian subsidiary could benefit from the product innovation, development and packaging skills of the parent company to further increase its market share.

Newspaper reports speculated in 1994–95 that Tata was the frontrunner in the race to buy Tetley with an offer of around £300 million. Krishna Kumar, however, kept his cards close to his chest. He told a business newspaper that Tetley was 'one of the options' that Tata Tea was considering at that point. However, the deal did not go through at the time, as Tata Tea could not gather the resources to seal it. A group of investors, led by Leon Allen and backed by Prudential Venture Managers Limited, beat the Indian company in the race. As *The Guardian* said, Tetley was a 'prize catch for any consumer group'. On 29 June 1995, the deal was concluded and the investors went ahead and created the Tetley Group in the following month.

Though Ratan's attempt at the acquisition failed, it was not a wasted effort. It was part of a learning curve to mastering mergers and acquisitions abroad for Indian companies. As Krishna Kumar put it: 'We didn't get Tetley, but we acquired valuable insight into accessing the global financial market.' It was the Tatas' first large raid on a Western redoubt.

The Deal Brews

Tata Tea's loss in 1995 did not end its quest to acquire a foreign tea brand. If anything, it strengthened Ratan's and Krishna Kumar's resolve not to lose the next time around. The latter was on the watch for another suitable opportunity, and in early 1999, he was approached by Arthur Andersen, a global public accounting firm, with one such proposal. 'The owners of Tetley are willing to sell. They prefer a buyer who has long-term interests in tea. Would Tata Tea be interested?' Andersen queried.

Ratan was excited by the proposal. It was an opportunity for the Indian company to own an enterprise much larger than itself. Tetley's turnover was nearly two and a half times of that of Tata Tea in 1998. The prospects of suddenly growing to nearly four times its size was irresistible to the no-nonsense Krishna Kumar and his boss, whose determination to secure assets abroad was unflagging. It was the inorganic route that they preferred to